

THE END OF EXIT: CASHLESSNESS, DIGITAL IDENTITY, AND THE COLLAPSE OF COMPETITIVE CONSTRAINTS ON POWER

Introduction

“He who says ‘state’ means coercion and compulsion,” Ludwig von Mises warned.¹ Yet the distinctive nature of digital interventionism lies not merely in the coercion it imposes, but in the embedding of political control into the infrastructure through which social cooperation occurs. Payments, identity, and market access are not only regulated from the outside; they can be conditioned from within. The result is a shift from the already harmful external restriction of human action to a permission architecture embedded within the conditions of social coordination itself.

This essay argues that the central consequence of digital interventionism is the erosion of exit. From the perspective of the Austrian School of Economics, this erosion is not merely a political problem; it undermines the institutional foundations of spontaneous order itself: private property, monetary choice, entrepreneurial discovery, competitive market coordination, and the use of dispersed knowledge.

Exit as the Constraint on Power

Power is limited not only by constitutional restraints but, more effectively, by the ability of those subject to it to leave. The possibility of exit transforms authority into a competitive relationship. Firms, institutions, platforms, and even governments must secure continued cooperation rather than merely command obedience. The exit option is the practical ability of individuals to leave, bypass, or refuse institutions in favor of alternative, competing arrangements.² In the market economy, this principle finds its clearest expression in what Mises termed consumer sovereignty. Consumers decide which goods to purchase and from whom, and their subjective valuations are the starting point of the market process that makes economic calculation possible.³

Consumers’ ultimate authority cannot be exercised without the exit option. If individuals are unable to shift demand away from less-valued producers, the market loses the mechanism through which profit and loss reveal error, reallocate resources, and discipline production. Once this is understood, it becomes clear how the process of entrepreneurial discovery depends on the possibility of exit.⁴ When dispersed consumers withdraw demand from a producer, they reveal dissatisfaction that entrepreneurs can detect as an opportunity for alternative forms of production. Moreover, artificial barriers to exit give rise to structural constraints on the entre-

¹ Ludwig von Mises, *Omnipotent Government: The Rise of the Total State and Total War* (Ludwig von Mises Institute, 2010), 47.

² Albert O. Hirschman, *Exit, Voice, and Loyalty: Responses to Decline in Firms, Organizations, and States* (Harvard University Press, 2004).

³ Ludwig von Mises, *Human Action: A Treatise on Economics*, Scholar’s ed. (Ludwig von Mises Institute, 1998), 258–324.

⁴ Israel M. Kirzner, *Competition and Entrepreneurship* (University of Chicago Press, 1978).

preneurial function, thereby weakening the market's capacity to correct error through voluntary choice and competitive reallocation.

This logic is not confined to ordinary consumer markets. It extends to broader institutional conditions of social and economic order: money, identity, communication, and market access. If individuals can abandon a currency, monetary discipline emerges; if they can abandon institutional arrangements, institutions are forced to compete for continued cooperation.

In this sense, exit is not merely a negative liberty but a condition for correction within spontaneous order. Where individuals can abandon less-valued arrangements, the dispersed knowledge embodied in their choices disciplines institutions through competitive selection.⁵ Where exit is obstructed, however, error is no longer corrected by voluntary choice; it becomes embedded in the structure of coordination and invites planned "solutions" that reproduce the very calculation and knowledge problems they claim to overcome.

The Internalization of Intervention

Rothbard distinguishes three forms of intervention: autistic intervention, binary intervention, and triangular intervention.⁶ Each type corresponds to a different margin of human action affected by coercion. Autistic intervention consists in interference in an individual's autonomous action, such as prohibitions on drug consumption or restrictions on purely self-regarding conduct. Binary intervention forces the individual into a coerced relationship with the state, as in taxation, expropriation, or other compulsory transfers. Triangular intervention interferes with voluntary exchanges between private individuals, including price controls, product bans, or grants of monopoly privilege.

Rothbard's taxonomy was developed before coercive power could be systematically augmented through digital infrastructure. It must therefore be extended to new forms of compulsion that operate through digital systems.

Digital intervention integrates the enforcement of autistic, binary, and triangular interventions through a single infrastructure of permission. This limits the practical availability of exit by reducing access to alternative institutions, technologies, or intermediaries that remain outside the interventionist architecture. Even when traditional interventions operated *ex ante*, they often required separate legal or institutional mechanisms of enforcement, leaving alternative margins of action outside the same permission structure. Under digital intervention, the state no longer merely says, "if you sell *X*, you will be punished"; it can say, "you cannot sell *X* at all."

The distinction matters because exit does not require the absence of intervention; it requires the existence of channels not governed by the same enforcement architecture. The state may tax, prohibit, restrict, regulate, or subsidize, yet such measures may still leave certain gateways partly outside the state's sphere of control. If the state controls the points of access themselves, then the system is structured to minimize the possibility of withdrawal, not merely to punish

⁵ F. A. Hayek, "The Use of Knowledge in Society," *The American Economic Review* 35, no. 4 (1945): 519–30.

⁶ Murray N. Rothbard, *Power & Market: Government and the Economy*, 4th ed (Ludwig von Mises Institute, 2006).

unauthorized action. The result is not the metaphysical impossibility of evasion, but the weakening of exit as a scalable and economically relevant limit on power.

Having established how digital intervention internalizes coercion within the infrastructure of action, the analysis can now turn to the domains in which this transformation becomes most visible. The following sections do not attempt to cover every form of digital intervention, but focus on those that most directly affect the capacity for exit: money, identity, and market access.

Cashlessness and the Destruction of Monetary Exit

Money is a product of the market's spontaneous order. It is a social institution that emerges as the common medium of exchange through the principle of saleableness, as Carl Menger demonstrated.⁷

Modern monetary systems operate across multiple layers of settlement. Most daily transactions are conducted through digital payment infrastructures, including central bank money, bank deposits, credit networks, card systems, and clearing mechanisms.⁸ These systems rely on institutional intermediation, which exercises control over settlement through mechanisms such as authorization, reversibility, censorship, and control over timing.

By contrast, cash requires no institutional intermediation in practice. A vendor sells to a buyer, cash is exchanged for goods, and no third-party institution participates in the settlement process. Final settlement rests directly with the transacting parties. Cash therefore constitutes the last non-discretionary settlement layer, as it does not depend on third-party authorization.

Even within a fiat monetary regime characterized by central bank discretion and credit expansion, cash retains a distinct property: its use at the level of individual exchange does not require external authorization. Being the last non-discretionary settlement layer does not imply immunity from monetary intervention. Cash holdings may be eroded by inflation, but the government cannot directly reach into one's cash holdings.

However, one implication of a cashless society is especially important from an Austrian perspective. Bank runs represent a paradigmatic example of market discipline—provided that the state does not neutralize them—insofar as they impose constraints on financial intermediaries. They arise when individuals, perceiving a deterioration in the conditions of the institutions in which they have deposited their money, act to protect their claims. This response may take the form of withdrawing deposits into cash or transferring balances to another bank or asset. The former option is effectively eliminated in a cashless society. The latter, however, remains possible, but only within the boundaries of the intermediated financial system.

As a result, this form of flight is altered not in its essence but in the type of intervention it requires. Traditionally, bank runs have been addressed through bailouts of financial institutions. Even so, when central bank intervention is embedded within the monetary infrastructure of a digital system, bailouts need no longer be the primary mode of intervention. Bailouts are highly

⁷ Carl Menger, "On the Origin of Money," *The Economic Journal* 2, no. 6 (1892): 239–55.

⁸ European Central Bank, *Study on the Payment Attitudes of Consumers in the Euro Area 2024*, December 19, 2024, <https://doi.org/10.2866/9860161>.

visible and politically costly, as they are widely perceived as unpopular. By contrast, a digital monetary system enables more technical, opaque, and scalable forms of intervention. Instead of responding to constraints revealed by cash withdrawals, monetary authorities can intervene directly at the level of settlement.

This is not purely hypothetical. Central banks already intervene in settlement through liquidity facilities, collateral eligibility rules, and valuation practices. The Federal Reserve provides financial institutions with access to the discount window, through which banks can obtain central-bank liquidity against collateral accepted by the respective Reserve Bank.⁹

Historically, the use of such facilities has accompanied periods of sustained credit expansion, contributing to the persistence of monetary and financial discoordination across cycles, including the 1920s and later episodes.¹⁰

The new issue in a cashless system is not that settlement-based interventions emerge for the first time; they already exist. The issue is that, once cash is eliminated and replaced by a digital monetary system, monetary flight can no longer occur through an external settlement medium. It must instead occur within the very structure of intermediation managed by central banks and regulators. This expands the scope of settlement-based manipulation.

The deepest threat to monetary freedom concerns the institutional constraint that cash still imposes on monetary policy: the zero lower bound (ZLB). What mainstream economists often treat as a policy failure is, from an Austrian perspective, one of the last barriers against monetary discretion. The ZLB refers to the constraint whereby central banks cannot easily push nominal interest rates significantly below zero.¹¹ This constraint exists because cash provides a monetary alternative with a nominal return of zero. If the cost of negative rates were fully passed on to depositors, they would have an incentive to transfer their balances into cash.

The mainstream argument is that a countercyclical monetary policy would become more effective if this constraint were removed. In practice, this means penalizing the holding of monetary balances during crises in order to force consumption, investment, or risk-taking.

Figure 1 illustrates how removing the zero lower bound may open the door to a ratchet effect in monetary discretion. Individuals would no longer be able to choose between deposits subject to negative rates and physical cash immune from such direct compulsion. The deeper issue is that, even where negative rates were introduced only under exceptional circumstances, expectations about future monetary policy and the acceptable scope of intervention would shift accordingly. What is introduced as an exceptional measure risks becoming normalized over time, reflecting a ratchet effect in monetary discretion.

⁹ Federal Reserve Board, “Discount Window Lending,” accessed May 25, 2026, <https://www.federalreserve.gov/regreform/discount-window.htm>.

¹⁰ Murray N. Rothbard, *America’s Great Depression* (Ludwig von Mises Institute, 2000).

¹¹ Even if significantly negative interest rates are practically impossible, central banks still retain some room to move below zero, as demonstrated by the policies of the ECB following the financial crisis and by the Bank of Japan over the past decade.

Ratchet Effect in Monetary Policy Discretion

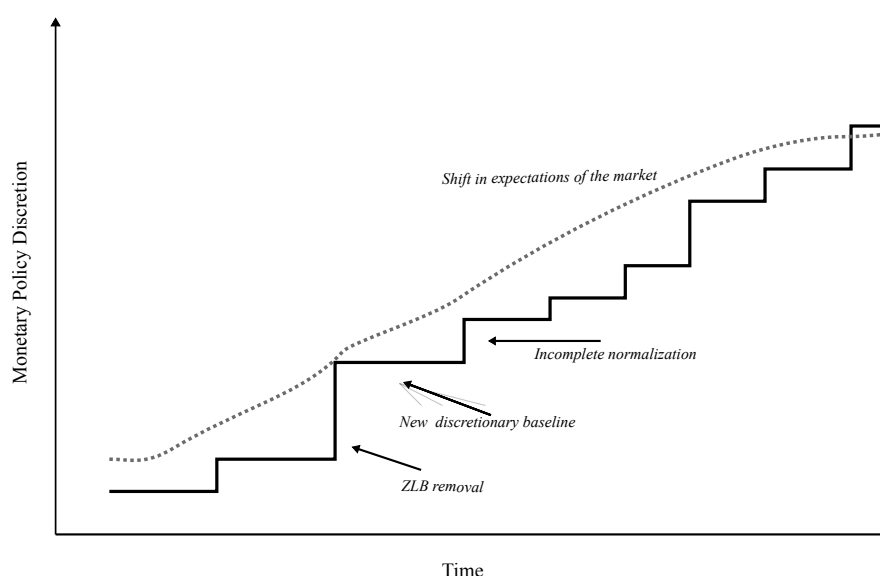


Figure 1. Ratchet Effect in Monetary Policy Discretion
Source: Author's own elaboration

Cashlessness is not merely a technological shift; it is digital interventionism taking monetary form. It marks the transition from a system in which intervention remained exogenous to the monetary infrastructure to one in which intervention is embedded within it. Once cash disappears, monetary action is subordinated to systems governed by authorization, liquidity policy, and discretionary settlement. Individuals can still move within the system, but they can no longer withdraw from it. The destruction of cash is therefore the destruction of monetary exit. The next step for governments is to intervene in identity and market access.

Identity, Permissioned Markets, and Entrepreneurial Discovery

This condition is not merely documentary; it is praxeological. Identity no longer functions as a description of the individual after he has acted; it becomes a prerequisite for economic action itself. In a free market, the acting individual precedes administrative recognition. He may own, offer, exchange, fail, learn, and acquire reputation through voluntary interaction. Digital identity reverses this order by tying permission to act to a continuously updated record of past conduct, present compliance, and future eligibility. Historically, when the state impeded action, it did so through visible repression and the direct use of its monopoly on violence. Under digital identity, the state does not need to pursue repression as a separate act. It only has to control the conditions under which individuals become visible to the market. This gives rise to a new form of intervention: permissioned markets. These are markets in which exit from one institution does not restore freedom of action because access to alternative institutions remains governed by the same identity layer.

The European Commission is already constructing a common framework for digital identity. The European Digital Identity Wallet allows individuals and companies to identify and authen-

ticate themselves through a shared online architecture.¹² Although its use is officially presented as voluntary, its danger lies in creating an initial access layer that risks becoming the foundation for a broader infrastructure of digital identity.

In a free market, exit is valuable because it allows individuals to move from one institution to another. If one platform excludes an individual, another may compete for his participation; if one supplier fails him, another may capture his demand. Under digital identity, the problem is not merely rejection by one institution. The problem is that the same administrative profile can be reused across institutions. Exit then becomes circular, since the individual may leave one institution while remaining identified by the same system of recognition.

This access layer undermines the preconditions of the market's discovery process. Entrepreneurial discovery is the process by which actors perceive previously unnoticed opportunities for gain and act upon them, thereby creating, transmitting, and coordinating dispersed knowledge. This knowledge is subjective, practical, and private. It is generated through entrepreneurial action and only later transmitted socially.¹³ The market must allow the previously unknown actor to test perceived gaps through action, guided by profit, loss, and prices. However, the permissioned identity system reverses this order. Authorities attempt to prevent action *ex ante*, before the opportunity can be exposed to market competition. The planner cannot claim to know the opportunity he prevents because the opportunity would only have come into existence through the action he has made impossible.

The Indian License Raj provides a useful historical illustration of how administrative coercion can displace entrepreneurial discovery. After independence, India adopted a system of socialist-inspired planning and bureaucratic command. Under this system, firms often had to obtain administrative authorization before production, expansion, or new lines of activity could be tested in the market process. Some accounts report that private firms sometimes had to obtain approval from as many as eighty agencies before being allowed to produce.¹⁴ The regime contributed to India's economic rigidity.

The discoordination introduced by such an administrative layer systematically benefits established firms. Even if incumbent firms initially incur losses, those able to influence or adapt to the regulatory environment benefit over time, as increased barriers to entry gradually suppress competitive pressure, thereby consolidating state-induced market power grounded in coercion.

A deeper problem emerges. The issue is not the abolition of economic calculation, as under socialism, but the degradation of its coordinating function under institutional coercion. A permissioned system reproduces a milder version of the same epistemic error, insofar as the state conditions market access on coercive assessments of the actor's recorded conduct. When market participants are prevented from freely bidding, offering, entering, and competing, prices

¹² European Commission, "European Digital Identity," accessed June 4, 2026, https://commission.europa.eu/topics/digital-economy-and-society/european-digital-identity_en.

¹³ Jesús Huerta de Soto, *Socialismo, cálculo económico y función empresarial*, 7th ed. (Unión Editorial, 2024).

¹⁴ BBC News, "India: The Economy," accessed June 8, 2026, http://news.bbc.co.uk/2/hi/south_asia/55427.stm.

can no longer reflect the full range of entrepreneurial knowledge that would otherwise emerge through voluntary exchange.

Prices still exist, but they reflect the market that remains after the state has filtered access to it, not the market that voluntary exchange would have revealed. Once identity becomes the condition of access, intervention ceases to act as an external imposition on isolated acts. It becomes embedded in the architecture of social coordination itself. Such interventionist errors tend to accumulate over time, producing deeper discoordination throughout the economy.

The Dynamics of Cumulative Digital Intervention

Every coercive attempt by the state to alter market order leaves the state with two possible responses: either repealing the intervention or adding another one. The state usually chooses the latter, since repealing the original measure would require admitting that the first intervention had failed. In *Power and Market*, Rothbard calls this the “cumulative logic of intervention.”¹⁵ For instance, prohibiting narcotics does not eliminate demand; it restricts legal supply, raises prices by adding a legal-risk premium, and pushes addicts toward criminal activity to finance consumption.

With digital intervention, this dynamic intensifies. If, for example, society were to become cashless, individuals would seek exit through alternative media of exchange, such as Bitcoin and other cryptocurrencies. In China, the state restricted monetary exit by imposing capital controls on cross-border transactions. As a result, some individuals used Bitcoin as a form of capital flight.¹⁶

As the original restriction failed to eliminate exit, in 2013, the Chinese government imposed restrictions on banks and payment companies providing Bitcoin-related services, and in 2017 prohibited fiat-to-crypto conversion platforms.¹⁷ A further intervention came in 2021, when China imposed a sweeping prohibition on cryptocurrency transactions and mining.¹⁸

This illustrates the paradox into which the state repeatedly falls. It intervenes, fails, intervenes again, and still fails. The decisive shift under digital intervention is that each new layer of cumulative coercion does not need to be separately approved, manually enforced or vulnerable to exit. It can be embedded directly into the infrastructure.

Conclusion

The old problem of intervention has evolved. The market is no longer distorted only from above. The new problem is that the state can distort it from within by controlling the channels

¹⁵ Rothbard, *Power & Market*.

¹⁶ Maggie R. Hu et al., “Evading Capital Controls via Cryptocurrencies: Evidence from the Blockchain,” SSRN Scholarly Paper no. 3956933, December 22, 2021, <https://doi.org/10.2139/ssrn.3956933>.

¹⁷ Reuters, “Explainer: Beijing Doubles Down on Rooting Out Crypto in China,” June 22, 2021, <https://www.reuters.com/technology/beijing-doubles-down-rooting-out-crypto-china-2021-06-22/>.

¹⁸ Reuters, “China’s Top Regulators Ban Crypto Trading and Mining, Sending Bitcoin Tumbling,” September 24, 2021, <https://www.reuters.com/world/china/china-central-bank-vows-crackdown-cryptocurrency-trading-2021-09-24/>.

of exit, identity and market access. For centuries, liberty survived intervention because individuals could still evade, substitute, compete, or retreat elsewhere.

Digital interventionism is unjust because it suppresses exit; but it is also dynamically inefficient because, by suppressing exit, it obstructs the entrepreneurial processes through which society discovers dispersed knowledge, corrects error and coordinates plans.¹⁹

Here, Huerta de Soto's theory of dynamic efficiency reveals why this matters beyond privacy or administrative control. A society is not efficient because a planner allocates known resources according to a static criterion of Pareto optimality. Rather, it is efficient insofar as individuals, through entrepreneurship and under the protection of exit, discover new ends, new means, and new forms of competition. In the same article, Huerta de Soto writes that "nothing is more (dynamically) efficient than Justice (in its proper sense)."²⁰

If, as Huerta de Soto argues, justice is a condition for dynamic efficiency, then the defense of liberty in the digital age must be the defense of exit itself.

¹⁹ Jesús Huerta de Soto, *The Theory of Dynamic Efficiency* (Routledge, 2009), 1–30.

²⁰ Huerta de Soto, *The Theory of Dynamic Efficiency*, 22.

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